

Solution:

Particulars		Amount ₹
Raw Material Opening Stock	3,00,000	
Add Purchases	8,00,000	
Less Closing Stock	1,00,000	
Material Consumed	10,00,000	10,00,000
Custom duty paid for purchase of Raw material		5,00,000
Freight Inward		20,000
Other direct charges		50,000
Direct Wages		2,00,000
Prime cost		17,70,000
Factory Overheads		
Wages indirect		20,000
Other factory expenses		50,000
Depreciation Factory		30,000
Direct Salary		20,000
Factory Cost		18,90,000
Administrative Overheads		
Salary Office		50,000
Depreciation Office		20,000
Direct Salary		10,000
Cost of Production / works cost		19,70,000
Selling And Distribution Overheads		
Carriage outward		8,000
Salary Sales office		40,000
Trade fair expenses		20,000
Depreciation Selling		20,000
Direct Salary		20,000
Cost of Goods sold		20,78,000
loss		78,000
Sales		20,00,000

Note: Goodwill write off and advance interest received are not part of costing.